Entrepreneurship and Business Development

MGMT 102

CHAPTER 1: THE NATURE OF ENTREPRENEURSHIP

1.1 Introduction

- The word ‘**entrepreneur**’ is widely used, both in **everyday conversation** and as a technical term **in management and economics**.

- Its **origin** is from a **French word**, ***entreprendre***, where an entrepreneur was an individual commissioned to **undertake a particular commercial project.**

- Entrepreneurship is then **what the entrepreneur does.**

- The **entrepreneurial process** in which the entrepreneur engages is the means through which **new value is created** as a result of the project: **the entrepreneurial venture**.

1.2 Historical Origin of Entrepreneurship

What is entrepreneurship?

- Offering a specific and **unambiguous definition** of the term entrepreneurship /entrepreneur presents **a challenge**.

- This is not because definitions are not available, but **because there are so many**.

- During the **ancient period** the word entrepreneur was used to refer to **a person managing large commercial projects through the resources provided to him**.
- In the 17th Century a person who has signed a **contractual agreement with the government** to provide stipulated products or **to perform service was considered as entrepreneur**.
- In this case the **contract price is fixed** so **any resulting profit or loss reflects the effort of the entrepreneur**.

- In the 18th Century the first **theory of entrepreneur** has been developed by **Richard Cantillon**.
- He said that **an entrepreneur is a risk taker**.
- If we consider the **merchant, farmers** and /or the professionals **they all operate at risk**.
- For example, **the merchants buy products at a known price and sell it at unknown price** and this shows that **they are operating at risk.**

- In the late 19^{th} and early 20^{th} Century an **entrepreneur was viewed from economic perspectives.**

- The **entrepreneur organizes and operates an enterprise for personal gain**.

- In the middle of the 20^{th} Century the **notion of an entrepreneur as an inventor** was established.

- “The function of the entrepreneur is to reform or **revolutionize the pattern of production** by exploiting an invention or more generally **untried technological possibility** for **producing new commodities** **or producing an old one in a new way** or opening a **new outlet** for products by reorganizing a new industry.”

- The concept of **innovation and newness are at the heart of the above definition**.

- From the historical development it is possible to understand the fact that the perception of the word **entrepreneur was evolved from managing commercial project** to the **application of innovation (creativity) in the business idea**.

1.3 Definitions of Entrepreneurship and Entrepreneur

- **Common attributes of the definitions** of entrepreneurship and entrepreneur.
- Entrepreneurship is the process of **identifying opportunities** in the market place, arranging **the resources** required to pursue these opportunities and **investing the resources** to exploit the opportunities for long term gains.
- **It involves creating incremental wealth** by bringing together resources in new ways to start and operate an enterprise.

1.Entrepreneurship is the processes through which **individuals become aware of business ownership** then develop ideas for, and **initiate a business**.

2.Entrepreneurship can also be defined as the **process of creating something different and better** with value by devoting the necessary time and effort by assuming the accompanying financial, psychic and social risks and receiving the resulting **monetary reward** and **personal satisfaction**.

3.In this case an individual should **come up with something different and better** in order **to be named as entrepreneur**.

4.Entrepreneurship is the **art of identifying viable business opportunities** and **mobilizing resources** to **convert** those opportunities into a successful enterprise through **creativity**, **innovation**, **risk taking** and progressive imagination.

- Entrepreneurship is a practice and a process that **results in creativity**, **innovation** and **enterprise development and growth.**

- It refers to an **individual's ability to turn ideas into action** involving and engaging in socially-useful wealth creation through application of innovative thinking and execution to meet consumer needs, using one's own labor, time and ideas.
- Engaging in **entrepreneurship shifts people from being "job seekers" to "job creators",** which is critical in countries that have **high levels of unemployment**.
- It **requires a lot of creativity** which is the **driving force behind innovation.**

- In general, the **process of entrepreneurship includes five critical elements**. These are:

1. The **ability to perceive** an **opportunity**.
2. The **ability to commercialize** the perceived opportunity i.e. **innovation**
3. The **ability to pursue** it on a **sustainable basis.**
4. The **ability to pursue it through systematic means.**
5. The **acceptance of risk or failure**.

- Based on the above concepts of entrepreneurship, an entrepreneur can be defined as follows:
- 1.An entrepreneur is any person who creates and **develops a business idea** and takes the risk of **setting up an enterprise** to produce a product or service which satisfies customer needs.
- 2.An entrepreneur can also be defined as a **professional** who discovers a business opportunity to **produce improved or new goods and services** and identifies a way in which resources required can be mobilized.

- **3. An entrepreneur is an individual who**: has the ability to identify and pursue a business opportunity; undertakes a business venture; raises the capital to finance it; gathers the necessary physical, financial and human resources needed to operate the business venture; sets goals for him/herself and others; initiates appropriate action to ensure success; and assumes all or a major portion of the risk!

- **4.An entrepreneur is a person who:** creates **the job not a job-seeker**; **has a dream, has a vision**; **willing to take the risk** and makes something out of nothing
- **5.**Other definition, views the term entrepreneur from three perspectives; i.e. from the economist, psychologist and capitalist philosopher's point of view.

1.4 Types of Entrepreneurs

- Entrepreneurship can take three different forms. They are:

  1.The individual entrepreneur: An individual entrepreneur is someone who started; acquired or franchised **his/her own independent organization**. The major portion of this module is also devoted to describe the basic features and activities of the individual entrepreneur.

- **2.Intrapreneur:** An Intrapreneur is a person **who does entrepreneurial work within large organization.** The process by which an intrapreneur affects change is called Intrapreneurship.

- **3.The Entrepreneurial Organization:** The entrepreneurial function **need not be embodied in a physical person.** Every social environment has its own way of filling the entrepreneurial function.

1.5 Role of Entrepreneurs in Economic Development

- Entrepreneurial development is the most **important input in the economic development of any country**.
- The objectives of **industrial development**, **balanced regional growth**, and **generation of employment opportunities** are **achievable** through entrepreneurial development.

- The entrepreneurs **serve as a key to the creation of new enterprises**, thereby **rejuvenating economy** and **sustaining the process of economic development** in the following ways:

  1. **Improvement** in **per capita Income/ Wealth Generation**
  2. Generation of **Employment Opportunities**
  3. **Inspire others** Towards Entrepreneurship
  4. **Balanced Regional Development**
  5. **Enhance the Number of Enterprises**

6.Provide **Diversity in Firms**

7. Economic **Independence**

8. **Combine Economic factors**

9. Provide **Market efficiency**

10. **Accepting Risk**

11. **Maximize Investor's Return**

1.6 Entrepreneurial Competence and Environment

- Entrepreneurial Mindset

  Who Becomes an Entrepreneur?

  The Young Professional

  The Inventor

  The Excluded

- **Qualities of an Entrepreneur**

  Opportunity-seeking

  Persevering

  Risk taking

  Demanding for efficiency and quality

  Information-seeking

  Goal setting

  Planning

  Persuasion and networking

  Building self-confidence

  Listening to others, Demonstrating leadership

- **Entrepreneurial Skills:**

- General Management Skills- *Strategy Skills, Planning Skills, Marketing Skills, Financial Skills, Project Management Skills, Time Ma nagement Skills*

- People Management Skills- *Communication Skills, Leadership Skills*, *Motivation Skills*, *D elegation Skills, Negotiation Skills*

- **The Entrepreneurial Tasks:**

  Owning Organizations
  Founding New Organizations
  Bringing Innovations to Market
  Identification of Market Opportunity
  Application of Expertise
  Provision of leadership
  The entrepreneur as manager

1.7 Creativity, Innovation and Entrepreneurship

- **Creativity**, **innovation** and **entrepreneurship**, have been recognized as **important contributors to a nation's economic growth**.

- These three terminologies are chronologically interrelated and it is very important to look into them to get their full picture.

- **Creativity-** Creativity is defined as the tendency to **generate or recognize ideas**, **alternatives**, or possibilities that may be useful in solving problems, communicating with others, and entertaining ourselves and others.

- **Steps in the Creative Process**

  Step1: Opportunity or problem Recognition: A person discovers that a new opportunity exists or a problem needs resolution.

  Step2: Immersion: the individual concentrates on the problem and becomes immersed in it. He or she will recall and collect information that seems relevant, dreaming up alternatives without refining or evaluating them.

Step 3: Incubation: the person keeps the assembled information in mind for a while. He or she does not appear to be working on the problem actively; however, the subconscious mind is still engaged.

Step 4: Insight: the problem-conquering **solution flashes into the person's mind at an unexpected time**, such as on the verge of sleep, during a shower, or while running. Insight is also called the Aha! Experience.

Step 5: Verification and Application: the individual sets out to **prove that the creative solution has merit**. Verification procedures include gathering supporting evidence, using **logical persuasion**, and **experimenting with new ideas**.

- **Innovation**

- Innovation lies **at the heart of the entrepreneurial process** and is a means to the exploitation of opportunity. It is the **implementation of new idea at the individual, group or organizational level**.

- There are four distinct **types of innovation**, these are as follows:
- **Invention** - described as the **creation** of a **new product**, service or process
- **Extension** - the **expansion** of a product, service or process
- **Duplication** - defined as **replication** of an already existing product, service or process
- **Synthesis** - the **combination of existing concepts** and factors into a new formulation

- **The Innovation Process**

  1. **Analytical planning:** carefully identifying the product or service features, design as well as the resources that will be needed.

  2. **Resources organization:** obtaining the required resources, materials, technology, human or capital resources

  3. **Implementation:** applying the resources in order to accomplish the plans

  4. **Commercial application:** the provision of values to customers, reward employees and satisfy the stakeholders.

- **From Creativity to Entrepreneurship**

Creativity is the **ability to develop new ideas** and to **discover new ways** of looking at problems and opportunities.

Innovation is the **ability to apply creative solution to those problems** and opportunities in order to enhance people's lives or to enrich society.

Entrepreneurship = **creativity** + **innovation**.

CHAPTER 3

BUSINESS FORMATION

3.1 INTRODUCTION

- A business formation deals with the **formalization** and **actual implementation** of business **ideas** in to **practice.**

- In today's economic development/ transformation, **small businesses are creating new jobs even as large businesses continue eliminating jobs** and they are **more flexible than large ones in the products and services they offer.**

3.2 The Concept of Small Business Development

- Specifying size and **standard to define small business** is necessarily arbitrary, because people adopt **different standards** for different purposes.
- Based on socio- economic conditions, **countries define small business differently.**
- But **all may use size and economic criteria** as a base to define small business.

- **Size criteria include number of employees and the startup capital.**

- Small and medium enterprises (SMEs) cover a wider spectrum of industries and play an important role **in both developed and developing economies.**

- Ethiopia is no exception and SMEs occupy a **prominent position in the development of the Ethiopian economy**.

3.3 Forms of Business (A Short Explanation)

- There are **three basic legal forms** of business formation with some variations available depending on the entrepreneurs' needs.
- The three basic legal forms are:-

  1. Proprietorship,

  2. Partnership, and

  3. Corporation, with variations particularly in partnerships and corporations.

- **Proprietorship-** Form of business with **single owner who has unlimited liability**, controls all decisions, and receives all profits.

- **Partnership- Two or more individuals having unlimited liability** who have pooled resources to own a business.

- **Corporation- Separate legal entity** that is run by stockholders having limited liability.

- These three basic legal forms are compared with regard to ***ownership, liability, start-up costs, continuity, transferability of interest, capital requirements, management control, distribution of profits, and attractiveness for raising capital.***

3.4 Definition and Role/Importance of SMEs in Developing Countries

3.4.1 Definition of SMEs

- Small businesses are **playing an important role in the industrial economy** of the world.
- These are **particularly important in the developing economies**.
- Small business is **predominant** even in **developed** countries such as **USA**, **Japan** etc.

- There is a difference between **small business owners** and **entrepreneurial ventures** as well.
- An entrepreneurial venture often is a **growth-oriented innovative company** with product or service **offerings that are new to the market.**
- Small businesses could be entrepreneurial ventures.
- Most entrepreneurial ventures start as a small business.

- **Most small business owners** work with known products and services **aimed at incremental growth,** and their innovation is **focused on sales**, **marketing**, and **market expansion.**

- Entrepreneurial ventures incorporate a different set of strategies.

- These entities are aimed at **rapid growth** and apply **innovation and creativity** at every node of the business process.

- They work with new offerings, and they face a lot more uncertainties.
- There are two approaches to define small business.
- They are: **Size Criteria**, and **Economic/ control criteria**.

1. Size Criteria- Even the criteria used to measure the size of businesses vary; **size refers to the scale of operation.**

- Some criteria are applicable to all industrial areas, while others are relevant only to certain types of business.

- For instance, some of the criteria used to measure size are: **number of employees**; volume, and value of **sales turnover**, **asset size,** and **volume of deposits**, **total capital investment**, **volume/value of production**, and a combination of the stated factors.

- The following general criteria for defining a small business are suggested by Small Business Administration (SBA).

- **Financing** of the business is **supplied by one individual** or a **small group**. Only in a rare case would the business have more than **15 or 20 owners**.
- Except for its marketing function, the firm's **operations** are **geographically localized**.
- Compared to the biggest firms in the industry, the business is small.
- The number of **employees** in the business is usually **fewer than 100.**

- This **size criteria** based definition of SMEs **varies from country to country.**
- **All over the world**, **number of employees** or **capital investment** or **both** has been used as the **basis for defining** SMEs.

2. Economic/Control Criteria

- **Size does not always reflect** the true nature of an enterprise. In addition, **qualitative characteristics** may be used to differentiate small business from other business. The economic/control definition covers:

- Market Share,
- Independence,
- Personalized Management,
- Technology, and
- Geographical Area of Operation.

3.4.2 Role/Importance of MSEs in Developing Countries

- Small and medium enterprises (SMEs) cover a **wider spectrum of industries** and play an **important role in both developed and developing economies**.

- Ethiopia is no exception and SMEs occupy a **prominent position** in the development of the Ethiopian economy.

- Over the years, the number of SMEs is **growing from time to time** and they **need a strong support** on Scio- economic and political ground. **Some of the contributions are hereunder.**

1.Large Employment Opportunities: MSEs are generally **labor-intensive.**

2.Economical Use of Capital: MSEs need relatively **small amount of capital**. Hence it is **suitable to a country like Ethiopia** where capital is deficient.

3.Balanced Regional Development/ Removing Regional Imbalance: Generally small enterprises are located **in village and small towns.** Therefore it is possible to have a **balanced regional growth** of industries. Ethiopia is a land of villages.

4.Equitable Distribution of Wealth and Decentralization of Economic Power: It **removes the drawbacks of capitalism**, abnormal profiteering, concentration of wealth and economic power in the hands of few etc.

5.Unregulated Growth of Large-scale industries results in concentration of economic power in the hands of a few; and consequently, gross inequalities in the distribution of income and wealth will occur.

- On the other hand; **income generated in a large number of small enterprises is dispersed more widely** and its benefit is derived by the large segments of the society.

6.Dispersal over Wide Areas- SMEs has a tendency to disperse over wider areas and they play a **key role in the industrialization** of a developing country.

7.Higher Standard of Living: MSEs bring **higher national income**, **higher purchasing power** of people in rural and semi-urban areas.

8.Mobilization of Locals Resources/ Symbols of National Identity: The spreading of industries even in small towns and villages would encourage the habit of thrift and **investment among the people of rural areas.**

3.5 Setting up Small Scale Business

- Once an individual decides to take up entrepreneurship as a career path, to be a job provider instead of a job seeker, s/he has to establish an enterprise.

- The **entrepreneurial process** of launching a new venture can be divided into three key stages of: **Discovery; Evaluation;** and **Implementation.**

- **Discovery:** The first stage of discovery is to **identify opportunities** that may form the basis of an entrepreneurial venture.

- **Evaluation:** By the end of first stage of discovery, you should have selected an **idea worthy of further detailed investigation.**

- **Exploitation:** By the end of the second stage of evaluation, you should have identified an opportunity that has **reasonable prospects of success**, and analyzed what is required to launch it.

- **Environmental Analysis:** Entrepreneurship does not exist in a vacuum. It is affected by and affects the environment.

3.6 Small Business Failure and Success Factors

3.6.1 Small Business Failure Factors

- **Causes of Business Failure**
- The **rates of business failure vary** greatly **by industry** and are affected by factors such as **type of ownership**, **size of the business**, and **expertise of the owner**.

- The **causes** of business failure are **man**y and complex; however, the most common causes are **inadequate management** and **financing**.

- **Business Termination versus Failure**
- There is a **difference** between a business **termination** and a **business failure**.
- A **termination** occurs when **a business no longer exists for any reason.**
- A **failure occurs** when **a business closes** with a **financial loss to a creditor**.

- **3.6.2 Small Business Success Factors**

  1.Conducive Environment- *Political*, *economic*, *technological and socio-cultural factors* in the environment impinge upon the life of the small enterprises and generate much of the needs required for their existence.

  2.Adequate Credit Assistance- Adequate and timely supply of credit is critical for new entrepreneurs to emerge especially from a wide base.

3.Markets and Marketing Support- The small business entrepreneur will be in **competition** not only **with locally mass-produced goods** but **even imports.**

3.7 Classification of Enterprises in Ethiopian Context

- **I. In Case of Manufacturing Enterprise (Manufacturing, Construction and Mining):**

- ***a) A Micro Enterprise*** is one in which the investment in plant and machinery (total asset) does not exceed **birr 100,000** (one hundred thousand); and operates with **5 people** including the owner.

- ***b) Small Enterprises*** is one in which the investment in plant and machinery (a paid up capital of total asset) of **birr 100,000** (one hundred thousand) and **not more than Birr 1.5 million**; and operates with **6-30 persons**.

II. In Case of Service Enterprise (Retailing, Transport, Hotel and Tourism, ICT and Maintenance):

a) ***A micro enterprise*** is one with the values of total asset is **not exceeding** Birr **50,000**(fifty thousands); and operates **with 5 persons** including the owner of the enterprise.

b) ***Small Enterprise*** is one in which the total asset value or a paid up capital of birr 100,000 (one hundred thousand) and **not more than Birr 1.5 million**; and operates with **6-30 persons**.

Priority Sectors and Sub-Sectors for MSEs Engagement In Ethiopia

- ***1.Manufacturing* Sector-** This is the one which comprises textile and garment; leather and leather products; food processing and beverage; metal works and engineering wood works including furniture and ornaments service; and agro-processing.
- **2.Construction Sectors-** This is the one which comprises sub-contracting; building materials; traditional mining works; cobble stone; infrastructure sub-contract; and prestigious goods

- **3.Trade Sectors-** This is the one which comprises whole sale of domestic products; retail sale of domestic products and raw materials supply.
- **4.Service Sectors-** This is the one which comprises small and rural transport service; café and restaurants; store service; tourism service; canning/packing service; management service; municipality service; project engineering service; product design & development service; maintenance service; beauty salon; and electronics software development; decoration and internet café.

- **5.Agriculture Sector (Urban Agriculture)** - This is the one which comprises modern livestock raring; bee production; poultry; modern forest development; vegetables and fruits; modern irrigation; and animal food processing.

3.8 Main Supporting Packages for MSEs Development in Ethiopia

- When entrepreneurs decide to involve and develop MSEs in Ethiopia, they are more likely entitled with **some supporting packages** which include awareness creation about the sector; provision of legal services, to form legal business enterprises; providing technical and business management training; financial support based on personal saving, 20/80 (the beneficiaries save 20% and the MFIs provide loan of 80% for the projects); facilitate working premises; industry extension services and BDS provision; bookkeeping and audit services.

3.9 Problems of Small Scale Business in Ethiopia

- **Small-scale businesses** have not been able to contribute substantially to the economic development, particularly **because of financial, production, and marketing problems.**
- These problems are still **major handicaps** to their **development.**
- **Lack of adequate finance and credit** has always been a **major problem** of the Ethiopian small business.

- **Small-scale units do not have easy access to the capital** because they are mostly **organized** on **proprietary** and **partnership** basis and are of **very small size.**

- They do not have easy access to **industrial sources of finance** partly **because of their size** and partly because of the fact that their surpluses which can be utilized to **repay loans are relatively small.**

- Because of their size and partly because of the limited profit, they search for funds for investment purposes.

- Consequently, they approach traditional money lenders who **charge extra high rate of interest** hence small enterprise continue to be **financially weak.**

- Small scale enterprises find it **difficult to get raw materials of good quality** at **reasonable prices** in the field of production.

- Furthermore, the **techniques of production**, which the enterprises have adopted, are usually outdated.

- Because of their **poor financial position** they are **not able to buy new equipment**, consequently their productivity suffers.

3.10 Organizational Structure and Entrepreneurial Team Formation

- **3.10.1 Introduction**
- Significant to potential investors is the **management team** and its **ability** and **commitment to the new venture**.
- Investors will usually demand that the management team **not attempt** to operate the business as a **sideline** or **part-time venture** while employed full time elsewhere.

- It is unacceptable for the entrepreneurs to try to draw a large salary out of the new venture, and investors may perceive any attempt to do so as a **lack of psychological commitment to the business.**
- **3.10.2 Designing the Organization**
- The entrepreneur may find that he or she **performs all the functions** of the **organization alone**.
- This is a common problem and a significant reason for many failures.

- The entrepreneur sometimes thinks that he or she can do everything and is **unwilling to give up responsibility** to others or even include others in the management team.

- Regardless of whether one or more individuals are involved in the start-up, as the workload increases, the organizational structure **will need to expand to include additional employees** with defined roles in the organization.

- **3.10.3 Building the Management Team and a Successful Organization Culture**

- In conjunction with the design of the organization, the entrepreneur will need to **assemble the right mix of people** to assume the responsibilities outlined in the organization structure.

- In essence, the **team must** be able to **accomplish three functions**:-

  -Execute the business plan;

  -Identify fundamental changes in the business as they occur; and

  -Make adjustments to the plan based on changes in the environment and market that will maintain profitability.

CHAPTER 4

PRODUCT/SERVICE DEVELOPMENT

4.1 INTRODUCTION

- The new product development process involves **the idea generation**, **product design**, and **detail engineering**; and also involves **market research** and **marketing analysis.**
- Intense **global competition**, **short product and technology lifecycles**, **unpredictable consumer buying patterns** and possible **market stagnation** makes **new product development a critical activit**y in most businesses.

4.2 The Concept of Product/Service Technology

- Many entrepreneurs find it difficult to identify a new product/service or a new market opportunity.

- To start and expand a small venture, an entrepreneur needs to **identify opportunities for domestic and/or international expansion.**

- As the new venture grows and matures a **need for different management skills can occur** as well as for a new **infusion of the entrepreneurial spirit** (corporate entrepreneurship).

- Organization's **success** is dependent on **customer satisfaction and delight**.

- **Customer satisfaction** is **achieved** through the **development of product and service**, which have all attributes required by the customer.
- Successful products or services do not only have an **attractive package design** but should be **also able to provide robust performance.**
- Thus, product design must be **practical enough for production** and powerful enough to **provide a competitive advantage.**

- The **essence of product design** is to **satisfy customer** and **maximizes the value for the customer** at minimum cost.

- The merchandise or service should also be **able to meet primary needs and desire of the customer.**

- This **may not require development of new merchandise**, but an **enhancement to existing** merchandise or service.

- The merchandise or service will succeed most if it either **eliminates an existing pain** or **adds significant tangible benefits**.

- It is **easier to sell/deliver a new merchandise/service that eliminates a well-known existing pain**, as opposed to sell an item or service that doesn’t clearly solve a potential client’s pain.

4.3 Product/Service Development Process

- One of the essential characteristics of a **successful business** is exemplified by its **ability to continuously and rapidly develop new or improved versions of existing products** that deliver values more than customers expect.

- **Product development** is the **process** through which **companies react to market signals, respond to changes in customer demand, adopt new technologies**, foray into **new areas**, and **ensure continuous growth.**

- It is a core process in **achieving strategic objectives, renewal of the company business model** and **deterring competition** from displacing the company from its **market position.**

- Product/service development process is **part of the overall new-venture creation process**.

- Even though there are **many models** that advocate what the **product/service generation process** should look like, for this purpose we shall adopt **four distinct stages.**

These stages can be referred to as:

1. **Idea Generation**
2. **Incubation**
3. **Implementation**
4. **Diffusion**

New Idea Generation

- The new product development process **starts with search for ideas.**

- **Companies have to encourage any new idea coming.**

- The key to successful domestic and international entrepreneurship is to develop an **idea that has a market for the new product/service idea conceived.**

- Some of the more fruitful **sources of ideas** for entrepreneurs include **consumers**, **existing products and services**, **distribution channels**, the federal **government**, and **research and development.**

Idea Screening

- In the 2nd stage, **the purpose is to lessen the number of ideas** to few vital/valuable ideas.

- The ideas should be **written down and reviewed** each week **by an idea committee** who should sort the ideas into three groups- ***Promising Ideas, Marginal Ideas, and Rejects***: Each promising idea should be researched by committee member.

Concept Development and Testing

- **Attractive ideas must be refined** into fast **able product concepts** since people do not purchase ideas but they buy concepts.

- Any product idea can be turned into several product concepts.

- The questions asked probably include:-

    Who will use the product?

    What benefits should the product provide?

    When will people consume the produced?

- ***Concept Testing***: - calls for testing product concepts **with an appropriate group of target consumers**/customers, and then getting the consumers' reactions.

- At this stage, the **concepts can be in words or picture description**.

Marketing Strategy Development

- **After testing the new product** the concerned body must **develop a preliminary marketing strategy** plan **for introducing the new product** into the market.

- The **marketing strategy will undergo further refinement in subsequent stages**.

The **marketing strategy** plan consists of three parts:

(1) **Market size**, **structure**, **behavior** ;

(2) **Planned price**, **distribution strategy**, and **marketing budget** of the 1st year; and

(3) **Long run sales and profit goals**, **marketing mix strategy**.

Business Analysis

- After management develops product concept and marketing strategy, **it can evaluate the proposals' business attractiveness.**

- Management needs to **prepare sales**, **cost and profit projections** to determine **whether they satisfy the company's objective** or not.

Product Development

- If product concept **passes the business test**, **it moves to R&D or engineering** to be developed **to one or more physical version** of the product concept.

- Its goal is to find a **prototype** that the consumers/customers see as embodying the key attribute **described in the product concept statement.**

Market Testing

- After **management is satisfied** with the products' functional and psychological **performance, the product is ready to be dressed up with the brand name.**

- The goals are **to test the new product** is more authentic consumer/customer settings and **to learn how large the market is** and how consumers/customers and **dealers react** to **handling**, **using** and **repurchasing** the actual product.

Commercialization

- *When (Timing):-* In commercializing, **market entry timing is critical.**

- If the company hears about a **competitor nearing the end of its development work**, it will face three choices.
- The **1st choice** is ***First Entry***. Under this category, the firm usually enjoys the **"first mover advantage"** of **locking up key distributors** & gaining reputation.

- The 2nd choice goes with ***Late Entry Strategy***

- The 3rd strategy- ***Parallel Entry-*** can be also chosen by the company to get in the market.

4.4 Legal and Regulatory Frameworks for Entrepreneurs

- Since there are many options that an entrepreneur can **choose in setting up an organization,** it will be necessary to understand all the **advantages and disadvantages** of each regarding such issues as **liability**, **taxes**, **continuity**, **transferability of interest**, **costs of setting up,** and **attractiveness for raising capital**.

4.5 Intellectual Property Protection/Product/Service Protection

- **4.5.1 What is Intellectual Property?**

- Intellectual Property which **includes patents**, **trademarks, copyrights, and trade secrets** represents **important assets to the entrepreneur** and should be understood even before engaging the services of an attorney.

- **Intellectual property** is a legal definition of **ideas, inventions**, **artistic works** and other **commercially viable products** created **out of one's own mental processes.**

4.5.2 Patents

- An entrepreneur who **invents a new thing** or improves an existing invention **needs to get legal protection for her invention through a patent right.**
- **A patent is a contract between an inventor and the government** in which the government, in exchange for disclosure of the invention, **grants the inventor the exclusive right to enjoy the benefits** resulting **from the possession** of the patent.

- A patent **provides the owner with exclusive rights to hold**, **transfer**, and **license the production and sale** of a product/process.

- It is an **intellectual property right and It is issued by government to the inventor.**

- This **exclusive property right** can be **granted for a number of years** depending on the countries laws and type of property.

- Patents are **property rights that can be sold and transferred**, **willed** as well as **licensed** and at times **used as collateral**.

4.5.3 Trademarks

- **A trademark** may be **a word**, **symbol**, **design**, or some **combination of such**, or it could be a **slogan or even a particular sound** that identifies the source or sponsorship of certain goods or services.

- These are **distinctive names**, **marks**, **symbols or motto identified with a company's product or service** and registered by government offices.

- **Unlike the patent, a trademark can last indefinitely**, as long as the mark continues to perform its indicated function.

- **Trademarks unlike patents are periodically renewed** unless invalidated by cancellations, abandonment, or other technical registration/renewal issues.

Benefits of a Registered Trademark

- It **provides notice to everyone that you have exclusive rights to the use of the mark** throughout the territorial limits of the country.

- **It entitles you to sue in federal court for trademark infringement,** which can result in recovery of profits, damages, and costs.

- It establishes **incontestable rights** regarding the commercial **use of the mark**.
- It establishes the right to deposit **registration with customs to prevent importation of goods with a similar mark**.
- It entitles you to **use the notice of registration (®).**
- It provides a basis for **filing trademark application in foreign countries.**

4.5.4 Copyrights

- Copyright is a **right given to prevent others from printing, copying, or publishing any original works** of authorship.

- Copyrights provide exclusive rights to **creative individuals** for the **protection of literary or artistic productions.**

- It **protects original works of authorship** including **literary, dramatic, musical**, and **artistic works**, such as **poetry**, **novels**, **movies**, **songs**, **computer software**, and **architecture**.

- They pertain to **intellectual property**.

- Usually **copyrights are valid for the life of the inventor plus a few decades**.

4.6 The Intellectual Property System in Ethiopia

- Ethiopia became a party to the convention establishing the **World Intellectual Property Organization** (WIPO) in February 1998 right after some time the Country had joined the Nairobi Treaty on the Protection of the Olympic Symbol in 1981.

- It is a member of the **Treaty establishing the Common Market for Eastern and Southern Africa (COMESA)** which was formed in 1994, the Partnership Agreement between members of the **African, Caribbean and Pacific (ACP)** Group of States and the European Union (EU).

- The Ethiopian Government established the **Ethiopian Intellectual Property Office** in the year 2003 containing the understated Objectives:-

- To facilitate the **provision of adequate legal protection** for and exploitation of **intellectual property in the country;**

- To **collect, organize and disseminate technological information** contained in patent documents and encourage its utilization;

- To **study, analyze and recommend policies and legislation on intellectual property** to the government; and

- To **promote knowledge and understanding of intellectual property** among the general public;

CHAPTER 5

MARKETING

- **Business firms** and **non-profit organizations** engage in marketing.

- Products **marketed** include goods as well as **services, ideas, people, & places**.

- **Marketing activities are targeted at market** consisting of **product purchasers** who may be individuals and groups that influence the success of an organization.

- The **foundation** of marketing is **exchange.**

- In which **one party provides to another party something of value** in return for something else of value.

- In a broad sense, **marketing consists of all activities designed** to generate or facilitate an exchange **intended to satisfy human needs.**

- The concept of **market is very important in marketing.**

- The American marketing Association defines a market as **“The aggregate demand of the potential buyers for product or a product or services “.**

5.1 Meaning and Definitions of Marketing

- Marketing consists of activities designed to **generate and facilitate exchange intended to satisfy human needs or wants.**

- Marketing has been **defined in various ways**.

- **Marketing is a social and managerial process** by which an individual or group obtain what they need and want through **creating**, **offering and exchanging** of product of values with others (Philip Kotler,2012).

- **Marketing** is the total **business activity designed to plan**, **price, promote** and **distribute** want satisfying products to target market to achieve organizational goal (William J.Stanton, 1984).

- Marketing is the **creation and delivery of standard of living to society** (Paul Mazor, 2005).

- Marketing management is the process of **planning and executing**, **the conception**, **pricing, promoting and distributing of ideas**, goods and services to create an exchange that satisfy individual or group objectives (American Marketing Association, 2015).

- Marketing is the effort to **identify** and **satisfy customers' needs and wants.**

- It **involves finding out who your customers are, what they need and want, the prices, the level of competition.**

- It involves the knowledge and all the processes you undertake to sell your product.

Marketing **answers** the following questions:

- **Who** are my customers?
- **What** are my customer’s needs and wants?
- **How** can I **satisfy** my customers’?
- **How** do I **make a profit** as I satisfy my customers?

5.2 Core Concepts of Marketing

5.2.1 Needs, Wants and Demand

- **A person at any given time has a need.**

- This need arises out of **physical or psychological imbalances.**

- Marketing **starts with human needs** and **wants.**

- **Need**: - Human Need is a **state of deprivation** of **some basic satisfaction**. People require food, clothing, shelter, safety and belonging and esteem.

- **Wants**: - Wants are **desires** for **specific satisfiers** of needs. Human wants are continually **shaped** and **reshaped by social forces and institutions** including churches, schools, families and business cooperation. Eg. A person **needs food** but wants spaghetti

- **Demands**: - Demands are **wants for specific products** that are **backed by ability and willingness to buy them**.

- Wants become demand when **supported by purchasing power.**

- Companies must therefore measure **not only how many people want their product** but, **more importantly how many would actually be willing and able to buy it.**

- **Product**: - is **anything that can be offered to satisfy a need or want.**
- **Products** broadly classify as **tangibility** and **intangibility** features.

- **Value**: **-** is the **consumer's estimate of the** products overall **capacity to satisfy his or her needs.**

- **Cost**: **-** is the **amount of money** that are **going to be expended** or already incurred to acquire a product.

- **Exchange**: **-** is the act of **obtaining a desired product from someone** by **offering something** in return.

- **Transaction**: - is the **trade of values between two parties.**

- **Market: -** consists of all the **potential customers sharing a particular need or want** who might be **willing and able to engage in exchange** to satisfy their need or want.

5.3 Importance of Marketing

- A customer purchases a product **because it provides satisfaction.**

- That **something** that makes a product **capable of satisfying want is its utility.**

- And it is through **marketing that much of a product's utility is created.**

- Then **potential buyers must be informed about the product’s existence** and the benefits it offers through various forms of **promotion.**

- The **kinds of utility that marketing provides in the process** are as follows:

1. Form Utility: Form utility is **associated primarily with production**- the **physical** or **chemical changes** that make a product more valuable.

- When **timber is made into furniture**, form utility is created.

2. Place Utility: Place utility exists when a **product is readily accessible** to potential customers.

- So physically **moving the products** to a store near the customers add to its value.

3. Time Utility: Time utility means **having a product available** when you want it.

- Having a product available **when we want it is very convenient** but it means that the **retailer** must anticipate our desires and **maintain an inventory.**

4. Information Utility: Information utility is **created by informing prospective buyers** that a product exists.

- Unless you know a product exists and where you can get it, **the product has no value.**

5. Possession Utility: Possession utility is **created when a customer buys the product**-that is, **ownership** is **transferred** to the buyer.

5.4 Marketing Philosophies

- Marketing activities should be carried out **under a well-thought out philosophy** of **efficient**, **effective** and **socially responsible marketing.**

- There are **six competing concepts** under which **organizations can choose to conduct their marketing activities**: namely, the **production** concepts, the **product** concept, the **selling/sales** concept, the **marketing** concept, the **societal marketing** concept and the **relationship marketing** concept.

1. The Production Concept

- The **production** concept is **one of the oldest concepts** in business.
- The production concept **holds that consumers will favor products that are widely available and low in cost.**

- Managers of production-oriented organization concentrate on achieving **high production efficiency and wide distribution**.

2.The Product Concept

- Other businesses are **guided by the product concept.**

- The product concept holds that **consumers will favor those products that offer the most quality, performance or innovative features**.

- Managers in product oriented organization **focus their energy on making superior products and improving them** over time.

- Under the concept, **managers assume that buyers admire well-made products** and can appraise product quality and performance.

3. The Selling Concept/Sales Concept

- The selling concept **holds that consumers,** if left alone, **will ordinarily not buy enough of the organization product.**

- The **organization** must therefore **undertake an aggressive selling and promotion effort**.

- This concept assumes that **consumers typically show buying inertia or resistance and must be coaxed into buying.**

- It also **assumes that the company has made available a whole battery of effective selling and promotion** tools to **stimulate more buying.**

4. The Marketing Concept

- The marketing concept is a **business philosophy that challenges the three concepts** we just discussed.

- The marketing concept holds that **the key to achieving organizational goals consists of being more effective than competitors** in integrating marketing activities toward **determining and satisfying the needs and wants of target markets**.

- The marketing concept has been **expressed in many colorful ways:**

  “Meeting needs profitably”

  “Find wants and fills them”

  “Love the customers, not the product etc.”

5. The Societal Marketing Concept

- The societal marketing concept holds that **the organization should determine the needs, wants and interests of target markets.**

- It should then **deliver the desired satisfactions more effectively and efficiently than competitors** in a way that maintains or improves the **consumers and the society's well-being.**

6. Relationship Marketing

- Relationship marketing is the practice of **building long term satisfying relations** with **key parties-customers**, **suppliers**, **distributors**- in order to retain their **long term preferences** and business.
- The ultimate outcome of relationship marketing is the building of a **unique company asset** called a marketing **network**.
- In this case, customer experience rather than customer satisfaction is the most critical component in relationship marketing.

5.5 Marketing Information Systems

- Every firm must **organize the flow of information to its marketing managers**.
- Companies are **studying their manager's information needs** and **designing marketing information system** to meet these needs.
- A **marketing information system** consists of **people**, **equipment** and **procedure to gather**, **sort, analyze**, **evaluate** and **distribute needed timely** and **accurate information** to **marketing decision makers**.

- The marketing managers to carry-out their analysis, planning, implementation, and control responsibilities, **they need information about development in the marketing environment.**

- The needed information is developed through **internal company records**, **marketing intelligence activities, marketing research**, and **marketing decision support analysis**.

- **5.5.1 Marketing Research**

- **Marketing research** is the **systematic and objective identification, collection, analysis, and dissemination of information** for the purpose of **assisting management in decision making** related to the identification and solution of problems and opportunities in marketing.

5.5.2 Marketing Intelligence

- Market intelligence is the **systematic process of gathering, analyzing, supplying and applying information** (both qualitative and quantitative) about the **external market environment.**

- **Intelligence is evaluated information**.

5.5.3 Competitive Analysis

- **Competitive analysis** refers to **determining the strengths and weaknesses of competitors** and designing ways to take opportunities or **tackle threats posed by competitors.**

5.6 The Marketing Mix Strategy

5.6.1 The 4 P’s Of Marketing/The Marketing Mix

- These are marketing variables that the **marketing manager can manipulate as controllable variables.**

- They include product, pricing, place (channel) and promotion.

1. **Product:** refers to goods/services **produced for sale**, the product /service **should relate to the needs and wants** of the customers.

2. Pricing: refers to the process of setting a price for a product/service.

- Your **prices must be low enough to attract customers** to buy and **high enough to earn your business a profit.**

3. Place: means the **different ways of getting your products or services to your customers.** It is also referred to as distribution.

- If your business is not located near your customers, **you must find ways to get your products/services to where it is easy for customers to buy.**

4. Promotion: Refers **informing your customers of your products and services** and attracting them to buy them.

- Promotion includes **advertising, sales promotion, publicity** (**non-paid promotion**) and **personal selling**.

- Use **advertising to make customers more interested** in buying your products or services.

- Some **useful ways of advertising** include **signs**, **boards**, **posters**, **handouts**, **business cards**, **pricelists**, **photos** and **newspapers.**

5.6.2 What Is Marketing Strategy?

- A marketing strategy is a process that can allow an organization to **concentrate its limited resources on the greatest opportunities** to increase sales and achieve a **sustainable competitive advantage**.

- Marketing strategy is a **method of focusing an organization's energies and resources on a course of action** which can lead to increased sales and dominance of a targeted market.

- A **marketing strategy combines product development, promotion, distribution, pricing, relationship management** and other elements; identifies the firm's **marketing goals**, and explains **how they will be achieved**, ideally within a stated timeframe.

- **Marketing strategy** determines the **choice of target market segments**, **positioning**, **marketing mix**, and **allocation of resources.**

- It is effective when it is an integral component of the overall firm strategy, defining how the organization will successfully engage customers, prospects, and competitors in the market arena.

1. Pricing Strategy

- Price is the **value placed on what is exchanged**. **Something of value is exchanged** for satisfaction and utility, includes tangible (functional) and intangible (prestige) factors.
- It relates directly to total revenue TR = Price * Quantity

Profit = TR – TC

Where, TR=Total Revenue, TC=Total Cost

- To come up with this situations marketers use **dynamic pricing strategies**.
- The following are some of pricing **strategies** mostly **applicable** in the real world scenario.
- **i. Price Skimming**: this is a type of marketing strategy that **firms use by charging the highest possible price** that buyers who most desire the product will pay.
- It **attracts a market segment that is more interested in quality, status, uniqueness** etc. In this case, consumers' demand must be **inelastic.**

- **ii. Penetration Pricing:** In this strategy, **prices of products are reduced compared to competitors' price** for the same product **to penetrate** into markets and to increase sales.
- This is appropriate when the demand is **elastic.**

- **iii. Cost-plus pricing:** Any amount that is **above unit cost** may be considered.

- **iv. Mark-up pricing**: A **certain percentage of the selling price** is added to unit cost.

- **v. Competition Oriented Pricing: Considers competitors prices** primarily; but the market type matters.

- **vi. Odd-even pricing**: This is **psychological pricing** method based on the belief that certain prices or price ranges are more **appealing to buyers.**

- This method **involves setting a price in odd numbers** (just under round even numbers) such as **$49.95** instead of **$50.00**.

2. Promotion Strategies

- **Promotion** is the **communication** of the company and its products **to customers**.
- **Promotional strategy** is **choosing a target market** and **formulating the most appropriate promotion mix** to influence it.

- **i. Advertising**: It is **any paid form of non-personal, one-way**, **mass communication** about an organization, good, service, or idea **by an identified sponsor**.

- **ii. Personal selling**: This is the **two-way flow of communication** between a **buyer** and **seller,** often in a **face to face** encounter, designed to influence a person's or group's purchase decision.

- **iii. Public relations:** Public relation is **a form of communication that seeks to change the perceptions of customers**, **shareholders**, **suppliers**, **employees** and other publics about a company and its products.

- **iv. Sales promotion**: This promotion type **involves short term incentives** of value such as **discounts**, **free samples**, and **prizes** to be offered to arouse interest of customers in buying the good/service.

3. Distribution Strategies

- A successful product or service means nothing unless the benefit of such a service can be communicated clearly to the target market.

- For **product-focused** companies, **establishing the most appropriate distribution strategies** is a major **key to success**, defined as maximizing sales and profits.

- Marketing channels are **individuals/ organizations involved in the process of making the product available** for use or consumption by consumers.

- **Channels are used to improve exchange efficiency.**

- **It is divided into Direct and Indirect channels.**

- **Direct channels:** In this type of channel, **producers and end users** directly interact.

- **Indirect channels:** In this type of channel **intermediaries are inserted between seller and buyer.**

- Intermediaries include **merchant wholesalers, retailers**, **dealers**, **agents**, **brokers**; and manufacturer’s branches and offices.

5.7 Selling and of Customer Service

5.7.1 The Concept of Service

- Service refers to any activity **undertaken to fulfil customer’s needs.**

- It is any act or performance that **one party can offer to another** that is **essentially intangible** and does not result in the ownership of anything.

- Its production may or may not be tied to a physical product.

- Distinctive features of services include **intangibility**, **inseparability, variability**, and **perishability** as **opposed to goods**.

- The feature of **intangibility** shows that **pure services cannot be defined in terms of the physical dimensions;** or the customer **cannot see or feel** them before purchase.

- The concept of **inseparability**, on the other hand, refers that **production and consumption of services are inseparable**; the 'sale' occurs just before both.

- There are also features of **variability** and **perishability** associated in service.

- **Services are highly variable**, because **they depend on who provides them**, and when and where they are provided.

- In addition to this, services are produced and consumed **at the same point, and are totally perishable right after use**.

- Service **cannot be reproduced** as a concert object and **it can vary from one moment to the next.**

- Based on this concept, service is characterized as; **situational, difficult to measure, subjective and influenced by the service provider.**

5.7.2 The Concept of Customer

- **Customer** is a person or organization that buys a product or service either for use or for resale.

- Customers can be **internal** (e.g. member of the organization) or **external** (customers coming from outside).

5.7.3 Strategic Activities needed for Quality Customer Service Delivery

i. Establishing a **clear customer service strategy.**

ii. **Ensuring that correct people are in place**, with the **correct skills** to deliver outstanding personal service.

iii. Establishing clear **material service delivery processes.**

iv. Improving in terms of **process improvement, quality monitoring** and **recovery continuously.**

v. **Participatory Management.**

5.7.4 Customer Handling and Satisfaction

- **Customer handling** and satisfaction is a **key for successful organizations.**
- Managers and employees should work hand-in-hand to **improve their service delivery programs.**

- Existing **customers must be satisfied with the existing service.**
- Existing **customers are also means of potential customers.**